

Bernie & Molly Habermeier
270 Bolla Ave
Alamo, CA 94507

March 11, 2026

Attention: Jim Long, Steve White, and Justin Miller

S&J Properties Construction, Inc.
4155 Blackhawk Plaza Circle, Suite 210
Danville, CA 94506

RE: Project Alignment and Completion Plan – 270 Bolla Ave

Dear Jim, Steve, and Justin,

We are writing to establish a practical path to completion for the project at 270 Bolla Ave. We value the quality of the work completed to date and want to proceed constructively, but the project is now approximately nine months beyond the contractual completion date and requires prompt alignment on schedule, billing, and next decisions.

To advance the project, we request the following:

1. Schedule and Site Progress Please provide by **Friday, March 20, 2026** a realistic trade-specific schedule from current status through final completion, including major milestones, dependencies, inspection sequencing, and your projected move-in-ready date, along with the site supervision plan needed to maintain that pace.

2. Billing Reconciliation and Compliance Going Forward California Business & Professions Code **§ 7159.5(a)(5)** requires progress payments to be tied to the value of work performed and materials delivered, rather than front-loaded milestone billing. That is the principal billing issue we need to address now.

Our objective is to establish a clear earned-versus-paid accounting and stop further front-loaded billing. In practical terms, current outstanding invoices and future invoices should be based on completed work and/or materials on site, including completed engineering and other design work product for which S&J invoices.

We are not seeking to revisit prior invoices one by one. Instead, we ask S&J to reconcile prior billings and payments against the actual value delivered to date, with any difference between amounts billed and paid, on the one hand, and value delivered, on the other, identified and carried forward in the accounting. Adoption of this change should not be misconstrued as an admission of wrongdoing by either party, and all rights remain reserved.

The examples below are illustrative, not exhaustive. In our view, S&J's billing practices appear inconsistent with California Business & Professions Code § 7159 in the following respects:

- **§ 7159.5(a)(3) - Down payment and front-loaded funding:** While both contract 6188 and contract 6232 reflected a nominal \$1,000 initial payment on paper, each was then followed by substantial early billing before substantial physical work began. Under contract 6188, S&J billed 10% to "secure construction calendar & design." Under contract 6232, S&J carried forward **\$174,650.00** from the prior contract, invoiced an additional **\$16,453.50** within two days of signing, and adopted a percentage milestone schedule that includes **1% at start of design & secure construction calendar, 5% at start of ordering selections, and 7% at start ordering construction materials** before later construction phases were completed. That history needs to be reconciled in the project accounting.
- **§ 7159.5(a)(5) - Progress billing tied to value actually provided:** Contract 6232 does not appear to tie progress payments to actual delivered value in the manner contemplated by the statute. Instead, it uses percentage milestones and separately states that S&J "may invoice in each weekly billing period any Client Selection item upon ordering." The client-selection schedule includes plumbing fixture categories such as **Kitchen Plumbing Fixtures & Sink, Bath vanity sink & fixtures, Bath vanity sink, tub & fixtures Primary, Bathroom water fixtures, and Bathroom Primary water fixtures**. In practice, that appears to permit billing for plumbing fixtures upon ordering rather than upon delivery or installation. Additional examples include 100% billing for the seam metal roof overage, the cabinet overage, LaCantina door overages, and advance invoicing for pergola engineering and footing/foundation-related work before corresponding value is reflected in the current state of the project. It is also unclear from the current accounting how progress is being measured against amounts billed across the original contract amount, overages, and change orders.

To implement that framework, we request by **Friday, March 20, 2026**:

- a reconciled accounting of the total actual value provided to the project to date, including materials present on site, construction labor and related costs, and all delivered engineering, design, architecture, drafting, and similar work product for which S&J has invoiced;
- identification of any difference between that reconciled value and the amounts billed and paid to date, with that difference tracked and trued up over time as value is actually delivered, whether the result is a project credit in our favor or an amount properly billable by S&J; and
- confirmation that all future invoices and change orders will comply with **§ 7159.5(a)(5)** and be based on actual value provided rather than approval-based percentages or administrative milestones.

To the extent S&J contends that amounts already paid correspond to materials or work not yet reflected in the current state of the house, we ask S&J to prioritize delivery and installation of those items so the accounting can be brought back into alignment through actual performance rather than further advance billing.

In addition, we request by **Friday, March 20, 2026**:

- complete copies of the work product and supporting records for all invoiced design, engineering, architecture, drafting, and revision services under both contract 6188 and contract 6232, sufficient to identify and substantiate what was produced for those charges, including drawings, plan revisions, markups, specifications, consultant deliverables, and related files. To the extent S&J contends that any such materials are subject to ownership or use restrictions, please identify the contractual and legal basis for that position.
- full conditional and unconditional lien releases, as applicable, for amounts already paid, and confirmation that S&J will furnish the releases required under **§ 7159(c)(4)** before any further payment is requested.

During our March 10, 2026 conversation, Jim stated that "specialty products" are exempt from these billing rules. We have reviewed **Business & Professions Code §§ 7159, 7159.5, and 7159.6**, and we do not see any exception for specialty, custom, or made-to-order items. Our understanding is that advance billing could be treated differently only if S&J were operating under a qualifying bond, joint control, or similar registrar-approved arrangement under **§ 7159.5(a)(8)**. If we are misunderstanding S&J's position, please identify the legal basis for any advance billing of custom or specialty items and, if you are relying on **§ 7159.5(a)(8)**, furnish the supporting proof.

We also request, pursuant to **California Business & Professions Code § 7159(c)(7)**, a complete subcontractor list for this project, including all subcontractors used to date, all subcontractors currently engaged, and all subcontractors expected to be used on the remaining work, together with each subcontractor's name, contact information, license number, and classification.

If S&J intends to continue using QuickBase for change-order approvals, please also correct the permissions issue that prevents us from declining items when appropriate.

3. Decisions Needed to Maintain Progress To finalize remaining design and scope decisions, please provide by **end of day Wednesday, March 18, 2026** final pricing for:

- front door area modernization;
- simplest non-opening skylight option for the dining room, laundry, and kitchen;
- outdoor utility routing for the BBQ area; and

- Schluter floor-heating costs for the primary bathroom.

We also ask for S&J's guidance in closing out the remaining selections by **March 27, 2026** using options that remain within the existing budget targets.

4. Site Readiness and Next Steps Because we remain responsible for compliance with the applicable Round Hill CC&Rs, including site cleanliness, nuisance, and safety requirements (Article 5, Sections 5.4 and 5.9; Article 7, Section 7.4), S&J must maintain the jobsite at all times in a clean, orderly, and safe condition and avoid debris, storage, or other site conditions that create HOA violations for which we remain liable. This is not a one-time issue. We have previously raised site-cleanliness concerns and need those conditions addressed going forward. Please complete a full site cleanup and debris haul-away without delay, including removal of the refrigerator currently in front of the garage, and maintain the jobsite in a clean, safe, and professional condition throughout the remainder of the project.

Separately, because the existing gate on the right side of the house was removed and the property includes a private pool area, S&J must promptly install a locked safety fence/gate on that side sufficient to maintain pool-area protection and basic site security while higher-value components are staged and installed. We are not trying to make this difficult; we simply need reasonable protection in place. California Health & Safety Code **§ 115923** requires a pool enclosure to be at least **60 inches** in height, and we expect an appropriate barrier consistent with that standard to remain in place and secured as work proceeds.

We would like to meet **on or before Friday, March 20, 2026**, to review the schedule, reconciliation approach, and next decisions. This proposal is intended to facilitate completion and does not waive any rights either party may have.

Sincerely,

Bernie & Molly Habermeier